

April 20, 2026

Best Buy Co., Inc. (BBY, \$67.25)

A \$900M media platform, 7M paying members, and a non-deferrable AI PC upgrade cycle, all priced as a dying electronics store at a single-digit forward P/E. The market is charging nothing for two of the three. That changes in March 2027.

Investment Thesis:

The Mispricing Is Structural. BBY's \$900M+ retail media business is recorded as a COGS offset, making it invisible to every quantitative screen and consensus revenue model. The market is pricing a hardware retailer because that is literally all the data shows. This gap closes March 2027 when management breaks out Ads as a standalone profitable segment for the first time. At \$63.39, below even our modeled bear case of \$68.89, this is the entry window before that re-rating becomes consensus.

The AI PC Cycle Is Non-Deferrable. Microsoft's Extended Security Update tier expired in early 2026 and the last consumer deferral mechanism is gone. Unpatched CVEs now accumulate daily on ~240M Windows 10 machines, making upgrade a binary security decision, not a lifestyle choice. AI PCs carry \$800-\$1,000+ ASPs versus sub-\$500 commodity laptops; every 2% of Computing & Mobile growth adds ~\$394M to revenue.

The \$900M Ads Business Is Priced at Zero. At 70-75% operating margins, Ads contributes ~\$63-675M to gross profit-35-38% of FY2026 adjusted operating income while appearing nowhere in revenue. At analyst-estimated retail media multiples of 15-20x EBITDA contribution, a conservative relative to pure-play ad tech peers like The Trade Desk and this segment alone would be worth \$2-3B. The market charges nothing for it today.

Totaltech Creates Switching Costs Amazon Cannot Replicate. 7M+ paid members who have set up whole-

Strong Buy

Target \$80.53, Upside **27.04%**

Key Statistics:

Share Price	\$66.94
Market Cap (mm)	\$13,745
Enterprise Value (mm)	\$13,050
Shares Outstanding (mm)	209.10
Net Debt (mm)	\$2,250
Dividend/Share	\$1.06
Dividend Yield	5.84
Share Repurchases (mm)	4 (FY26)
30D Avg Daily Volume (k)	4,339,916
P/E (LTM)	13.02
EV/EBITDA (LTM)	5.06
EV/Sales (LTM)	0.31

Estimates:

(mm)	2026A	2027E	2028E	5-y CAGR
Sales	\$41,691	\$41,856	\$43,079	2.12%
FCFF	\$1,269	\$1,343	\$1,539	8.73%

Company Description:

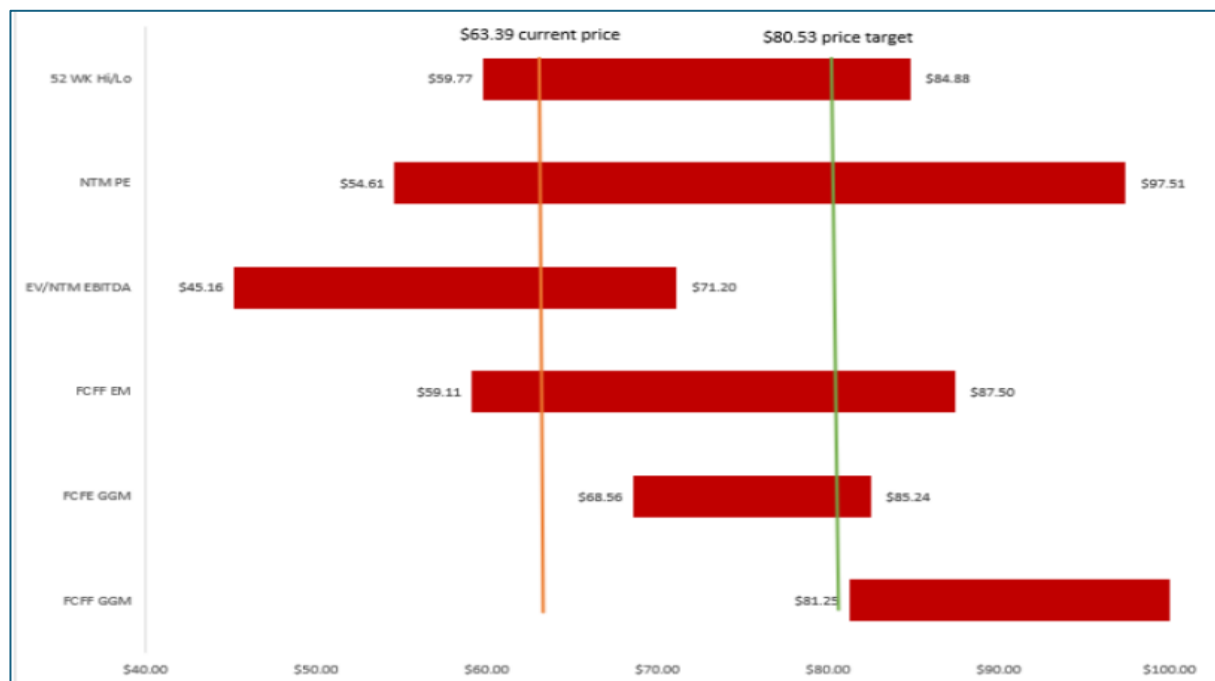
Best Buy is North America's dominant omnichannel consumer electronics retailer with \$41.7B in annual revenue across 1,068 stores, down from a peak of 1,231 in FY2021 as management actively rationalized footprint, closing underperforming locations. Computing & Mobile leads at 43% of sales, with the AI PC and smartphone refresh cycle providing a near-term demand tailwind. Digital channels account for 39% of domestic revenue, while a growing Services segment, anchored by Geek Squad and the Totaltech membership, drives higher-margin, recurring revenue. Against a backdrop of declining comps, management is executing a focused restructuring and mix shift toward services, underpinned by a fulfillment and in-store expertise advantage that pure-play online competitors cannot replicate.

home infrastructure through Geek Squad face real re-purchase, re-credentialing, and re-scheduling costs to switch. Services carry ~24% gross margins, 2x hardware and grow 4-5% annually, insulating operating income from price competition regardless of hardware commoditization. Resulting in EBITDA margins expand structurally from 4.2% in FY2026 to our modeled growth by FY2030, without requiring dramatic top-line growth.

Bear Case:

High operating leverage amplifies earnings volatility: Best Buy operates with significant fixed costs tied to its large physical store footprint and logistics network, producing operating leverage of 3.4x. In a recessionary scenario, a 10% decline in revenue would translate to a roughly 35% EBIT decline. This cyclical nature leads investors to over adjust for the potential downturn and under adjust for a potential recovery. In our view, today's depressed multiple already reflects pessimism around consumer electronics demand, tariffs, and secular pressure on big box retail. Best Buy's membership system (My Best Buy Plus and Totaltech), higher margin Geek Squad services revenue, and the growing Best Buy Health segment provide reoccurring, less cyclical revenue streams that partially insulate earnings from hardware demand swings. A strong balance sheet and a consistent capital return program (dividend plus buybacks) further support the floor valuation in a downturn. Applying our operating leverage framework, we see a possible decline in 2026 EPS to approximately \$5.30 per share, which times a "recession" P/E of 13x would yield a bear case target of \$68.89 which is about 8% above current levels of \$63.39. This suggests that the market may already be pricing in a scenario more severe than our bear case, providing a margin of safety even in the downside case.

Valuation:



Recommendation:

Our recommendation is strong BUY. With a blended implied price target of \$80.53, representing 27.04% upside potential that can be attributed to a structural mix shift to the Service and Ads segments, diversifying from the lower margin Hardware segment, coupled with AI PC upgrade replacement into 2026 to 2027 resulting in EBITDA margin expansion and modest topline growth.